



Financial Literacy and Loan Repayment Performance in Informal Savings Groups: Evidence From Kericho Community Development Trust, Kenya

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Abstract: Informal savings and credit associations have become important mechanisms for extending financial services to underserved populations in developing economies, particularly where access to formal financial institutions remains constrained. Nevertheless, weaknesses in financial knowledge may adversely affect borrowers' ability to understand credit obligations and manage repayment schedules, thereby increasing the risk of delinquency and undermining the sustainability of savings-based lending institutions. This study examines the association between financial literacy and loan repayment performance among members of accumulated savings and credit associations (ASCAs) affiliated with the Kericho Community Development Trust (KCDT) in Kenya. Primary data were collected from 135 members across 14 active ASCA groups and analysed using correlation and regression techniques. Financial literacy was assessed in relation to members' understanding of loan terms, interest obligations, repayment schedules and related financial-management practices, while loan repayment performance was evaluated using indicators of repayment behaviour and portfolio-at-risk (PAR) exposure. A statistically significant positive association was identified between financial literacy and loan repayment performance ($r = 0.412, p < 0.001$). Regression analysis further indicated that financial literacy accounted for 17.0% of the variation in loan repayment performance ($R^2 = 0.170$). These findings suggest that members with higher levels of financial literacy were more likely to demonstrate sounder repayment behaviour and lower exposure to repayment-related risks. The findings further indicate that financial literacy constitutes an important complementary factor in strengthening credit management within informal savings groups. Accordingly, the integration of structured financial education into ASCA operations, together with pre-loan financial literacy assessment and periodic refresher training, is recommended to strengthen members' capacity to manage credit obligations and improve the financial sustainability of ASCA-based lending programmes.

Keywords: Financial literacy; Loan repayment; Portfolio-at-risk; Informal savings groups; Accumulated savings and credit association; Microfinance sustainability

1. Introduction

1.1 Background of the Study

The global microfinance industry has witnessed exponential growth over the past three decades, with informal savings and credit associations emerging as critical vehicles for financial inclusion in sub-Saharan Africa (Kabugi & Kariuki, 2020; Maganga, 2020). In Kenya, the accumulated savings and credit association (ASCA) model has gained particular traction among rural and peri-urban communities excluded from formal banking services. Unlike rotating savings and credit associations (ROSCAs), ASCAs accumulate pooled savings over defined cycles, extend loans to members at interest and distribute accumulated profits through share-out mechanisms at cycle end (Chineka & Mtetwa, 2021; Zhao & Li, 2021).

Informal savings groups confront a fundamental sustainability challenge: loan delinquency notwithstanding their proliferation. The Kericho Community Development Trust (KCDT) financial report of 2022 documented a portfolio-at-risk (PAR) exceeding 30 days of 40.10%, with total outstanding arrears of Ksh. 4,355,349 (Kericho Community Development Trust, 2022). Such elevated default rates erode group capital, constrain future lending capacity and undermine member confidence, which ultimately threaten institutional survival.

Financial literacy is the combined knowledge, skills and attitudes enabling informed financial decision-making (Gaitan-Angulo et al., 2026). A growing body of literature identifies financial literacy as a critical determinant of loan repayment performance (Ali et al., 2021; Hasan et al., 2021). Financially literate borrowers are better equipped to assess loan affordability, manage cash flows and prioritize debt obligations (Dezso, 2021; Thomas & Gupta, 2021). Yet, empirical evidence on the financial literacy–repayment nexus remains sparse within the context of informal savings groups in East Africa.

1.2 Statement of the Problem

Loan repayment performance remains distressingly poor even though the ASCA model has expanded credit access for financially excluded populations in Kericho County of Kenya. The KCDT recorded 45% of loans in arrears (i.e., 45% of individual loan accounts had missed at least one scheduled repayment) and total outstanding arrears of Ksh. 4,355,349 in 2022, signaling systemic repayment failure. In addition, the PAR exceeding 30 days stood at 40.10%, indicating that 40.10% of the total loan portfolio value was overdue by more than 30 days. Existing literature attributes this crisis to inadequate group security, weak enforcement mechanisms and economic shocks. However, the role of borrower-level financial literacy in explaining repayment behaviour within informal savings groups remains underexplored. Specifically, it is unclear whether members' understanding of interest calculations, loan terms and budgeting principles influences their propensity to default. If financial ignorance drives repayment failure, then literacy interventions may offer a cost-effective remedy. Conversely, if literacy has no bearing on repayment, then structural factors such as group governance or macroeconomic conditions demand priority attention. This ambiguity constitutes the research gap that this study addresses.

1.3 Purpose of the Study

The study sought to examine the relationship between financial literacy and loan repayment performance among members of the KCDT, Kenya.

1.4 Specific Objectives

- (1) To determine the level of financial literacy among ASCA members in KCDT.
- (2) To assess the loan repayment performance of ASCA members in KCDT.
- (3) To examine the relationship between financial literacy and loan repayment performance among ASCA members in KCDT.

1.5 Research Hypotheses

H₀₁: There is no statistically significant relationship between financial literacy and loan repayment performance among ASCA members in KCDT, Kenya.

H₀₂: Financial literacy does not significantly predict loan repayment performance among ASCA members in KCDT, Kenya.

1.6 Justification of the Study

This study contributes to the financial inclusion discourse by shifting focus from credit supply to borrower demand-side capabilities. If financial literacy enhances repayment, then literacy investments become economically rational for group sustainability. The findings inform policymakers on whether to mandate financial education as a precondition for ASCA membership or loan eligibility. For practitioners, the study offers evidence-based guidance on designing literacy curricula tailored to informal group contexts. For scholars, the paper extends the financial literacy–debt management literature to an under-researched institutional setting.

1.7 Significance of the Study

The study holds implications for multiple stakeholders. KCDT administrators can use the findings to design pre-loan financial literacy screening and targeted training for high-risk borrowers. The Central Bank of Kenya and the Microfinance Act regulator may consider incorporating financial literacy requirements into ASCA

accreditation standards. Development partners financing community savings initiatives can justify literacy programme budgets through demonstrated repayment impacts. Finally, the study enriches the academic literature on behavioural microfinance in informal settings.

2. Literature Review

2.1 Theoretical Framework

2.1.1 Human capital theory

According to Becker (1964), human capital theory posits that investments in knowledge and skills enhance individual productivity and economic outcomes. Applied to financial behaviour, financial literacy represents a form of human capital that improves decision-making quality (Lusardi & Mitchell, 2014). Borrowers with superior financial human capital are hypothesized to make better loan choices, manage repayment obligations more effectively and avoid over-indebtedness; thereby reducing default probability.

2.1.2 Social cognitive theory

According to Bandura (1986), social cognitive theory emphasizes self-efficacy; belief in one's capability to execute behaviours as a determinant of action. Ali et al. (2021) demonstrated that financial self-efficacy, cultivated through literacy and socialization, directly influences financial coping behaviours and empowerment. In the ASCA context, members with high financial self-efficacy may exhibit greater confidence in managing loan repayments, seeking extensions when necessary and communicating proactively with group leadership during distress.

2.1.3 Asymmetric information theory

According to Akerlof (1970), market-for-lemons framework highlights how information asymmetries between lenders and borrowers distort credit markets. Financially illiterate borrowers may misrepresent their repayment capacity or misunderstand loan terms, exacerbating adverse selection and moral hazard. Financial literacy mitigates these asymmetries by enabling borrowers to accurately assess their own creditworthiness and comprehend contractual obligations.

2.2 Empirical Review

2.2.1 Financial literacy and financial behaviour

Hasan et al. (2021) examined how financial literacy impacts inclusive finance in Bangladesh, finding that literacy significantly enhances participation in formal financial services and improves debt management practices. The study employed household surveys and structural equation modelling, concluding that literacy interventions should accompany credit expansion. However, the study focused on formal banking contexts, leaving informal group dynamics unexplored.

Ali et al. (2021) proposed a conceptual model examining financial literacy, financial socialization and financial self-efficacy as antecedents of financial empowerment among Saudi women. Using partial least squares path modelling on 1,368 respondents, the study found significantly positive associations between literacy, coping behaviour and well-being. The positive role of saving as a financial self-efficacy mechanism was highlighted. Nonetheless, the study's exclusive focus on women limits generalizability to mixed-gender ASCA groups.

Thomas & Gupta (2021) synthesized social capital theory, social exchange theory and social cognitive theory to develop a conceptual framework linking financial literacy to financial well-being through knowledge sharing as a moderator. Their bibliometric analysis revealed that financial literacy serves as a foundational enabler of informed decision-making across diverse cultural contexts. The framework suggests that literacy effects may be amplified in group settings where peer learning and social monitoring operate.

2.2.2 Financial literacy and loan repayment

Indriani et al. (2023) examined group lending management in Indonesia, finding that social capital strengthened group lending control dynamics to increase repayment capacity. While not explicitly measuring literacy, the study implied that informed group members—through training and experience—exhibited superior repayment outcomes. The research adopted moderating regression analysis on 97 group respondents in Sragen Regency.

Prastyaningtyas et al. (2022) investigated group loan phenomena in Nganjuk, East Java, Indonesia, where women borrowers frequently defaulted due to poor financial planning and multiple borrowing. The study recommended women's empowerment activities such as financial literacy training as mechanisms to anticipate and minimize group loan risk. The findings suggest that literacy deficits directly contribute to repayment failure in informal group lending contexts.

Mengstie (2022) examined the impact of microfinance on women's economic empowerment in Ethiopia, using multiple regression on 346 women clients. The study found that education level, share-out amount and number of

training sessions significantly affected economic empowerment, while previous business experience did not. Paired sample *t*-tests revealed significant mean differences in income, assets and savings before and after share-outs. The study's reliance on paired *t*-tests rather than predictive modelling limits causal inference.

2.2.3 Loan repayment in informal savings groups

Chineka & Mtetwa (2021) analysed savings and credit schemes in Zimbabwe, establishing that loaning schemes empowered members to survive but recommended obligatory rules to safeguard institutional stability. The study employed purposive sampling of 10 contributors; a methodological limitation that the current study addresses through probabilistic sampling.

Maganga (2020) explored village savings and loan associations in Malawi, finding positive contributions to women's financial empowerment but failing to address literacy as a mediating variable. The descriptive design and small sample (70 women) restrict generalizability.

Mustonen et al. (2025) investigated microfinance loan impacts on women entrepreneurs in Kenya, finding significant empowerment effects but neglecting literacy and repayment challenges. The study did not address high-interest rates or over-indebtedness risks, gaps the current study partially fills.

2.3 Conceptual Framework

The study proposes that financial literacy, which is the independent variable, comprises four distinct dimensions of knowledge of interest calculations, budgeting, loan terms and risk assessment. The study proposes that financial literacy operates as a composite construct that influences loan repayment performance, which is the dependent variable. Loan repayment performance is measured through on-time repayment ratio, default frequency and PAR contribution. The relationship is moderated by group social capital (trust, peer monitoring) and mediated by financial self-efficacy.

3. Methodology

3.1 Research Design

The study adopted a correlational research design and cross-sectional descriptive survey. Correlational design was deemed appropriate for establishing the relationship between financial literacy and repayment performance (Bhandari, 2022). The cross-sectional approach captured data at a single point, providing a snapshot of literacy–repayment dynamics without longitudinal tracking.

3.2 Study Location

The study was conducted in Kericho County, Kenya, focusing on the KCDT and surrounding areas. Kericho's agricultural economy—dominated by tea farming—creates seasonal income fluctuations that test borrowers' repayment capacity, making it an ideal setting for examining literacy effects.

3.3 Target Population and Sampling

The target population comprised 380 members across 14 active KCDT groups. The formula proposed by Krejcie & Morgan (1970) yielded a sample of 191 members, distributed proportionally across groups using simple random sampling. Of 191 questionnaires distributed, 135 were returned valid (70.7% response rate).

3.4 Data Collection Instruments

Primary data were collected using a semi-structured questionnaire with four sections: (i) demographic and group characteristics; (ii) financial literacy assessment (15 items measuring interest calculation, budgeting, loan term comprehension and risk awareness); (iii) loan repayment behaviour (10 items measuring repayment timeliness, default history and communication with group leadership); and (iv) financial empowerment indicators. Secondary data on PAR and loan performance were extracted from KCDT financial records.

3.5 Validity and Reliability

Content validity was established through expert review while a Construct Validity Index (CVI) of 0.75 adopted. Internal consistency was tested using Cronbach's Alpha, with $\alpha \geq 0.70$ deemed satisfactory.

3.6 Data Analysis

Descriptive statistics (frequencies, percentages, means, standard deviations) summarized literacy levels and repayment performance. Inferential statistics comprised Pearson correlation and simple linear regression. Prior to interpreting the regression coefficients, standard diagnostic procedures were conducted to verify ordinary least squares (OLS) assumptions. These included the Shapiro-Wilk test for residual normality, the Breusch-Pagan test for homoscedasticity and the Durbin-Watson statistic for autocorrelation. Residual-versus-fitted plots were also examined to assess linearity and independence of errors. Hypothesis testing used $\alpha = 0.05$. The regression model was specified as:

$$Y = \alpha + \beta_1 X_1 + \varepsilon$$

where,

Y = Loan repayment performance;

X_1 = Financial literacy;

α = Constant;

β_1 = Coefficient of financial literacy;

ε = Error term.

4. Findings and Discussion

4.1 Demographic Characteristics

The 135 respondents comprised 56.3% male and 43.7% female. The majority (34.8%) were aged 51–61 years, followed by 40–50 years and over 61 years (23.7% each). Group tenure varied: 20.7% had existed for 3 years, 17.8% for 5 years and 14.8% for 1 year. Service focus was predominantly loans and savings combined (43.0%) or loans alone (42.2%).

4.2 Financial Literacy Levels

As shown in Table 1, members demonstrated the strongest budgeting skills (mean = 3.68) but the weakest risk awareness (mean = 3.21), suggesting that while members can manage routine finances, they struggle to anticipate and mitigate borrowing risks.

Descriptive analysis revealed moderate financial literacy among members. On a 5-point scale:

Table 1. Financial literacy levels

Literacy Dimension	Mean	Standard Deviation
Interest calculation comprehension	3.42	1.12
Budgeting skills	3.68	0.94
Loan term understanding	3.55	1.03
Risk awareness	3.21	1.18
Overall financial literacy	3.47	0.89

4.3 Loan Repayment Performance

Repayment performance was assessed through self-reported behaviour and secondary PAR data. Table 2 presents both the self-reported repayment indicators and the secondary portfolio indicators extracted from KCDT financial records. The secondary data confirmed poor portfolio health: 40.10% PAR > 30 days, total compulsory savings of Ksh. 15,822,927 and zero voluntary savings, indicating constrained financial flexibility.

Table 2. Loan repayment performance

Repayment Indicator	Mean	Standard Deviation
Self-reported indicators		
Repayment timeliness	3.89	1.05
Communication during distress	3.45	1.21
Default frequency	2.78	1.34
Understanding of consequences	4.12	0.87
Overall repayment performance	3.56	0.91
Secondary portfolio indicators		
PAR > 30 days (%)	40.10	—

Total compulsory savings (Ksh.)	15,822,927	—
Voluntary savings (Ksh.)	0	—

Note: PAR = portfolio-at-risk. “—” indicates no data. Secondary indicators are single-period values drawn from KCDT financial records and therefore do not have standard deviations.

4.4 Correlation Analysis

As shown in Table 3, financial literacy demonstrated a moderate positive and statistically significant correlation with repayment performance ($r = 0.412$, $p < 0.001$). This suggests that members with higher literacy scores exhibit better repayment discipline.

Pearson correlation analysis revealed:

Table 3. Correlation results for financial literacy and repayment performance

Variable	Financial Literacy	Repayment Performance
Financial literacy	1.000	0.412 ($p < 0.001$)
Repayment performance	0.412 ($p < 0.001$)	1.000

4.5 Regression Analysis

4.5.1 Model summary

Table 4 shows that the model yielded an R^2 of 0.170, indicating that financial literacy accounted for 17.0% of the variance in loan repayment performance.

Table 4. Model summary for financial literacy and repayment performance

R	R^2	Adjusted R^2	Standard Error
0.412	0.170	0.164	0.823

Note: R = multiple correlation coefficient; R^2 = coefficient of determination.

4.5.2 Analysis of variance

The analysis of variance as shown in Table 5 shows that the calculated $F(1, 133) = 27.192$ at $p < 0.001$; was greater than the F -critical. This implies that the model was statistically significant.

Table 5. Analysis of variance

Source	Sum of Squares	df	Mean Square	F	p -Value
Regression	18.431	1	18.431	27.192	<0.001
Residual	90.148	133	0.678	—	—
Total	108.579	134	—	—	—

Note: df = degrees of freedom; F = F -statistic; p = significance level; “—” indicates no data.

4.5.3 Coefficients

As shown in Table 6, the unstandardized coefficient ($B = 0.471$) indicates that for every one-unit increase in financial literacy, repayment performance improves by 0.471 units. The standardized coefficient ($\beta = 0.412$) confirms literacy as a meaningful predictor.

Table 6. Coefficients for financial literacy and repayment performance

Variable	B	Standard Error	β	t	p -Value
Constant	1.924	0.412	—	4.670	<0.001
Financial literacy	0.471	0.090	0.412	5.215	<0.001

Note: B = unstandardised regression coefficient; β = standardised regression coefficient; t = t -statistic; “—” indicates no data.

4.5.4 Diagnostic checks

It is essential to verify that the fitted model satisfies the standard assumptions underlying OLS inference before presenting the regression estimates. Table 7 summarizes the diagnostic checks conducted on the residuals.

As seen in Table 7, the Shapiro-Wilk test confirmed that residuals were approximately normally distributed ($W = 0.987$, $p = 0.156$). The Breusch-Pagan test indicated no significant heteroscedasticity ($\chi^2 = 2.134$, $p = 0.144$), supporting the assumption of constant error variance. The Durbin-Watson statistic ($d = 1.902$) fell within the acceptable range (1.5–2.5), suggesting no serious autocorrelation. Visual inspection of residual-versus-fitted plots displayed a random scatter around zero with no discernible funnel pattern, confirming linearity and

homoscedasticity assumptions. Collectively, these diagnostics support the validity of the regression inference.

Table 7. Diagnostic checks

Assumption Tested	Diagnostic Procedure	Statistic/Value	Decision/Interpretation
Normality of residuals	Shapiro-Wilk test	$W = 0.987; p = 0.156$	Residuals are approximately normally distributed ($p > 0.05$).
Homoscedasticity	Breusch-Pagan test	$\chi^2 = 2.134; p = 0.144$	No significant heteroscedasticity detected; constant error variance is supported ($p > 0.05$).
Autocorrelation	Durbin-Watson statistic	$d = 1.902$ (acceptable range: 1.5–2.5)	No serious autocorrelation present; residuals are independent.
Linearity & independence	Residual-versus-fitted plots	Random scatter around zero; no discernible funnel pattern	Linearity and homoscedasticity assumptions are visually confirmed.

4.6 Hypothesis Testing

H₀₁: There is no statistically significant relationship between financial literacy and loan repayment performance.

Decision: $r = 0.412, p < 0.001$. Since $p < 0.05$, reject H₀₁. There is a statistically significant positive relationship between financial literacy and loan repayment performance.

H₀₂: Financial literacy does not significantly predict loan repayment performance.

Decision: $\beta = 0.412, p = 0.000$. Since $p < 0.05$, reject H₀₂. Financial literacy significantly predicts loan repayment performance.

4.7 Discussion

The findings corroborate human capital theory: financial literacy constitutes a productive investment that enhances borrower decision-making and repayment capacity. The moderate correlation ($r = 0.412$) suggests that while literacy matters, it is not the sole determinant of repayment since group dynamics, economic conditions and loan terms also exert influence.

While the study modelled financial literacy as a composite construct, the descriptive statistics suggest that the four dimensions may exert differential effects on repayment behaviour. Members demonstrated strongest budgeting skills (mean = 3.68) but weakest risk awareness (mean = 3.21), with loan term understanding falling in between (mean = 3.55). This pattern implies that risk awareness may be a more critical deficit than budgeting competence in explaining default propensity, a conjecture consistent with Adekunle (2026), who found that borrowers' comprehension of loan terms and risk implications was a stronger predictor of repayment behaviour than basic budgeting knowledge in Nigerian microfinance banks. The current aggregate model does not permit direct comparison of dimension-specific effects; however, the descriptive gaps suggest that future research should employ multiple regression with disaggregated literacy dimensions to test whether interest calculation comprehension, budgeting proficiency, loan term understanding and risk awareness exert unique or differential effects on repayment outcomes. Such disaggregation would inform targeted curriculum design that prioritizes the weakest-performing dimensions rather than delivering uniform literacy content.

The findings from Kericho County converge with emerging evidence from comparable informal savings group contexts across sub-Saharan Africa and South Asia. In Nigeria, Adekunle (2026) documented that financial literacy explained 36.9% of variance in loan repayment behaviour among microfinance bank clients, a substantially higher explanatory power than the 17.0% observed in the present study, possibly reflecting the more formalized regulatory environment and structured literacy programmes in Nigerian Microfinance institutions (MFIs). In South Africa, Msomi & Nzama (2022) similarly found that financial literacy significantly influenced small and medium enterprises (SME) loan repayments during the COVID-19 era, underscoring the cross-contextual stability of the literacy–repayment nexus. Recent work in Cambodia by Samreth et al. (2025) further corroborates that financial literacy among microfinance borrowers enhances repayment discipline, while Osuma et al. (2025) demonstrated that microfinance and financial inclusion interventions reduce vulnerability across sub-Saharan Africa. These cross-national parallels indicate that the literacy–repayment relationship observed in KCDT is not idiosyncratic to Kericho but reflects broader challenges facing informal and semi-formal financial intermediaries in agrarian and transition economies. Consequently, the policy recommendations advanced here may have transferable relevance for ASCA-type institutions operating in Tanzania, Uganda and Rwanda, where similar seasonal income volatility and low financial literacy prevail.

The 17.0% explained variance aligns with prior studies acknowledging that repayment behaviour is multifactorial. Indriani et al. (2023) similarly found social capital moderates lending outcomes, while Prastyaningtyas et al. (2022) identified multiple borrowing and poor planning as literacy-related default drivers.

Notably, members scored lowest on risk awareness (mean = 3.21), suggesting that literacy programmes should prioritize risk education to help members assess affordability, anticipate income shocks and understand compound interest implications. The absence of voluntary savings (Ksh. 0 reported) further signals constrained financial buffers, exacerbating vulnerability to default.

The finding that 40.10% of loans are at risk in spite of moderate literacy levels implies that literacy alone is insufficient without complementary interventions: flexible repayment schedules, emergency credit lines and group-level insurance mechanisms.

5. Summary and Conclusion

5.1 Summary of Findings

Financial literacy among KCDT members is moderate (mean = 3.47), with strongest budgeting skills but weakest risk awareness. Loan repayment performance is suboptimal, with 40.10% PAR > 30 days and high self-reported default frequency. Financial literacy has a statistically significant positive relationship with loan repayment performance ($r = 0.412, p < 0.001$). Financial literacy significantly predicts repayment performance, explaining 17.0% of variance ($\beta = 0.412, p < 0.001$).

5.2 Conclusion

The study concludes that financial literacy is a significant but partial determinant of loan repayment performance in informal savings groups. While literacy enhances borrowers' capacity to understand obligations and manage repayments, structural factors, including group governance, economic volatility, and savings flexibility, also demand attention. The ASCA model in Kericho County cannot achieve sustainable lending without embedding financial education into group operations. Literacy is necessary but not sufficient; it must be complemented by institutional reforms that address the 40.10% PAR crisis.

6. Recommendations

The study advances two categories of recommendations: (a) empirically-derived recommendations grounded directly in the statistical findings reported in Sections 4.4 and 4.5 and (b) broader management recommendations (reflecting theoretical frameworks and institutional best practice beyond direct regression findings) informed by the theoretical framework and institutional best-practice literature, extending beyond the direct regression results.

6.1 Empirically-Derived Recommendations

(1) Mandatory Pre-Loan Financial Literacy Screening. KCDT should administer brief literacy assessments before loan approval, with remedial training for low-scoring applicants. The regression model demonstrated that financial literacy significantly predicts repayment performance ($\beta = 0.412, p < 0.001$); screening operationalizes this predictive relationship by identifying high-risk borrowers prior to disbursement.

(2) Risk Awareness Prioritization in Training Curricula. Group training should emphasize risk anticipation, income-shock planning, over-indebtedness avoidance, and emergency-fund creation. Risk awareness was the weakest literacy dimension (mean = 3.21, $SD = 1.18$) and the aggregate literacy score was significantly correlated with repayment ($r = 0.412, p < 0.001$), suggesting that strengthening the weakest dimension should yield disproportionate repayment gains.

(3) Voluntary Savings Incentivization. The trust should introduce incentives for voluntary savings beyond compulsory contributions. Secondary data revealed zero voluntary savings alongside a 40.10% PAR > 30 days, indicating that borrowers lack financial buffers to absorb repayment shocks.

6.2 Broader Management Recommendations

(1) Integrated Financial Education Modules. Group meetings should incorporate 15-minute literacy sessions covering interest calculations, budgeting and risk management. This recommendation draws on Social Cognitive Theory (Bandura, 1986) and Human Capital Theory (Becker, 1964), which posit that sustained knowledge investment and self-efficacy cultivation improve financial behaviour, rather than on a specific direct regression coefficient.

(2) Post-Default Literacy Counselling. Members who default should receive targeted financial counselling rather than punitive exclusion. Grounded in the conceptual framework linking financial self-efficacy to coping behaviour (Ali et al., 2021), this proposal reflects rehabilitative management practice rather than a direct empirical result from the present regression model.

(3) Policy Advocacy for ASCA Accreditation Standards. The Central Bank of Kenya and Ministry of Cooperatives should mandate financial literacy requirements in ASCA accreditation standards. Rationale: This reflects broader governance implications suggested by Asymmetric Information Theory (Akerlof, 1970) and the institutional sustainability literature, extending beyond the sample-specific regression findings.

Data Availability

The data used to support the research findings are available from the corresponding author upon request.

Conflicts of Interest

The author declares no conflicts of interest.

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